

SMMT pitch deck

PITCH — SMMT — VERDICT

PROPOSED — PENDING ADJUDICATION — no position, no bid before the FDA decision date; the only reopen is a $\leq 0.4\%$ starter at $\leq \$9.50$ after 2026-11-14.

What we believe

Summit Therapeutics is a one-drug company. The drug is ivonescimab, a bispecific antibody licensed from China's Akeso that hits PD-1 and VEGF at once, aimed at lung cancer. At \$12.75 the stock is down 58% from its 52-week high and 5.6% off the low, with a market value of about \$10.2 billion and an enterprise value of about \$9.4 billion after \$759 million of cash.

What we actually believe, after both benches finished:

1. **The bull evidence people are quoting cannot be graded.** The number carrying the “it works in Western patients too” argument — an overall-survival hazard ratio of 0.76 in a 165-patient Western subgroup — was published by the company itself as *exploratory*, with the confidence interval and the median survival withheld for a future medical meeting. Our own blue bench did the arithmetic the company withheld: with 165 patients, even if every single one had died, the 95% range around 0.76 would run roughly 0.56 to 1.03. It **cannot exclude “no benefit” at any achievable event count.** This is not a number that is currently unconfirmed; it is a number that is unconfirmable by construction.
2. **That cuts both ways.** The same arithmetic forbids the bear from claiming the Western hazard ratio is “really 1.0.” Nobody knows. The honest position is that the single most-discussed data point in this story is silent.
3. **The price is not absurd — it is moderately rich.** Working from the red bench's own value table, today's \$12.73 implies roughly a **55% chance** that ivonescimab reaches the street's 2030 revenue case (~\$4.7B territory peak). At a defensible 30–40% chance, fair value is **\$9.09–\$10.52**; adding a fat upside tail gets you to about **\$11.26**. So we are paying a **12–29% premium**, not 230%.
4. **What actually keeps us out is supply, not price.** On July 23 the company launched a **new \$380 million at-the-market equity program with J.P. Morgan** — meaning the issuer sells stock directly into strength, continuously, at its own discretion. Any rally we would participate in is the rally that funds the seller. Buying in front of a seller we can predict is something we don't do.
5. **The prize is smaller than the headline.** Akeso is owed **up to \$4.5 billion in remaining milestones plus low-double-digit royalties on net sales.** Roughly 12% of every dollar of revenue is spoken for before Summit sees it, and approval itself triggers cash going out the door.

Net belief: this is a fairly-to-modestly-rich lottery ticket on a trial nobody can currently handicap, sold by an issuer with an open equity spigot. Stay flat. Revisit only after the FDA decision resolves, and only at a lower price.

What the market believes

The sell side is not arguing about a price target; it is arguing about a revenue ramp. Consensus revenue runs roughly **\$108M in 2027 → \$936M in 2028 → \$2.7B in 2029 → \$4.7B in 2030**. Price targets span **\$12 (Leerink) to \$42 (Goldman)**, averaging about \$31.71.

The important observation: **at \$12.73 the tape has already converged on the single most bearish published target on the street**. The market is not ignoring the bear case; it has fully adopted the most pessimistic covering analyst. Our red bench initially tried to use that fact as a reason to reject the stock, which is backwards — if the bear case is in the price, the price is fair *for the bear case*, and the question becomes whether the bear case is right, not whether the stock is expensive.

Separately, ownership is extreme: insiders hold roughly 82% of shares (co-CEO Robert Duggan alone ~574M of 798M, about 72%), leaving a float somewhere in the 131–219M range against 798M shares outstanding, with **short interest at 31.2% of float**. The quoted price is a thin-float price, not a broad opinion. Ordinarily 31% short into a binary FDA date buys you explosive upside; here it doesn't, because the at-the-market program hands short sellers exactly the shares they need to cover. **The issuer is the squeeze suppressor.**

Why we might have edge

- **We can grade a number the market is arguing about.** Both the bulls and the bears have spent months debating whether the 0.76 Western hazard ratio is real. Neither side can be right, because the confidence interval is arithmetically incapable of excluding “no effect” at n=165. We can compute that from the subgroup size alone, without waiting for the company to publish anything. This is the one genuinely new thing this court produced, and it is generalizable: any subgroup hazard ratio published without its confidence interval can be pre-screened this way.
- **We noticed the catalysts sequence rather than stack.** On the Q2 call the company said HARMONi-3 squamous event rates have *slowed*, pushing the final progression-free-survival analysis to the “middle to back end” of 2026. That means the **November 14 FDA decision is likely to resolve first, alone**. Most write-ups treat these as one undifferentiated cloud of risk. They are two events in a known order, which makes a post-November-14 entry materially better-informed than a pre-November-14 one.
- **We read the financing sequence as a sequence.** On June 10 the company filed a \$500M follow-on. On June 11 it pulled it. On June 12 Duggan bought 3.81M shares at \$13.12. On July 23 a new \$380M program launched at a \$14.74 reference price. Read individually, the insider buy is a bullish signal. Read in order, it is a 0.67% addition to a \$7.3 billion stake that steadied a tape the company then sold into. That reframing is not in the public commentary.

- **We priced the license.** Most published work values the drug and then subtracts nothing for Akeso. The royalty and the \$4.5 billion milestone stack are real claims on the same cash flows.
- **We counted the shares from the filing, not the data vendor.** The share count in our own machine-built evidence pack was stale (742.6M, as of mid-2025). The 10-Q cover page says **797,749,602 shares as of 2026-07-17** ([10-Q, sec.gov](#)). That is a 7.4% difference in the denominator, and it moves every per-share number in this deck.

Why it might be priced in

Honestly: most of it probably is.

- **The equity program is public.** It was in the July 23 prospectus supplement and in the earnings coverage the same day. Our red bench initially flagged it as a novel finding; the blue bench correctly downgraded it — novel to *us*, not to the street.
- **The failed interim is public and was violently priced.** On April 30 the company disclosed the HARMONi-3 squamous cohort “missed statistical significance” at interim, and the stock fell 25% that day. Anyone can read that.
- **The Akeso economics are in every filing.** The license terms have been public since January 2023.
- **The 58% drawdown to the lowest analyst target is itself the market saying it has already discounted the bear case.** A stock that has traded down to the most pessimistic published view is not obviously mispriced; it is a stock where the pessimists have won the argument.
- **Our estimated 12–29% premium is inside the error bars of the method.** It rests on a multiple (3.5× peak net sales) chosen by one bench without a stated sensitivity. At 4.5×, which is the more standard figure for a biologic with 12 years of exclusivity, the premium largely vanishes and the implied probability of the bull case falls to ~37%.

The strongest argument against this deck is that “fairly priced, unknowable trial, issuer selling” is exactly what everyone already thinks, and staying flat is the consensus trade.

What could go wrong

(Pre-mortem — written as if the position were on and had lost.)

Failure narrative 1 — The drug works and we watched it from the sidelines. The FDA approves on November 14, HARMONi-3’s final progression-free-survival analysis clears the lower bar the company flagged (the interim burned almost no statistical budget, so the final test is genuinely easier), and the street’s \$4.7B branch stops being a maybe. The stock re-rates to \$19–\$31. We own none of it, and our own reopen band of \$9.50 is never touched — the stock gaps *up* from \$12.73 and never trades there again. **Monitorable?** Partly. Tripwire: the November 14 decision and the undated final-analysis 8-K. But the price path between them is not monitorable — a gap-up leaves no entry.

Failure narrative 2 — We buy the reopen and the second binary kills it. Approval lands, we take the $\leq 0.4\%$ starter at $\leq \$9.50$, and then the HARMONi-3 final analysis misses in late 2026. An approved drug with a failed confirmatory Phase III in the large indication is worth the approval-only case — roughly **\$4.80–\$5.92 a share** on the benches’ own math. We lose about 40% on the starter. **Monitorable?** Yes: the 8-K. But it’s a gap, not a slide; the tripwire fires after the loss, not before.

Failure narrative 3 — the one with no tripwire. A competitor gets there. **Pumitamig / BNT327 (BioNTech/BMS)** is a rival PD-L1 $\times$ VEGF bispecific already in Phase 3 (ROSETTA Lung-02, Breast-01). Neither of our benches put it in the value table, where it degrades precisely the \$4.7B branch that carries $\sim 55\%$ of today’s price. And this is the smaller version of the risk. The larger version is that **the entire PD-1 $\times$ VEGF class thesis is wrong** — that adding VEGF to a checkpoint inhibitor buys progression-free survival but not overall survival, a pattern oncology has produced before. If that is true, it is true for ivonescimab, for pumitamig, and for everything behind them, and no filing, no 8-K, and no price level tells us in advance. **Unknown-unknown class: mechanism-class invalidation — the failure is in the biology shared across the whole competitive set, not in any one company’s disclosures, so there is no issuer-level document that can trip a sensor.** We can only observe it after several readouts have failed, by which point the re-rating has happened.

The reflexive and structural leg. Our own size is not the problem: a 0.4% starter is trivial against a \$10.2 billion company with 31% of its float sold short and heavy daily turnover. (*Caveat, stated plainly: we could not measure this. IBKR contract search was denied to both benches, so we have no bar-level tape pull and no measured average daily volume. The claim that our size is immaterial is inference from market cap and short interest, not a computed percentage of volume.*) The reflexive risk runs the other way: **the \$380M equity program means the issuer sells into any rally we help create.** We would be bidding into flow we ourselves predict, which our own rules forbid. There is a second-order version — the extreme short interest normally makes a stock like this convex around a binary date, and the equity program is precisely what removes that convexity, so the “31% short into a PDUFA” argument that would otherwise justify a bigger size is void here. And a doctrine interaction to name: our default is that a court that finds no named kill should still take a minimum starter. This deck deliberately overrides that default, because the named blocker is the predictable issuer supply, not richness. If that override is wrong, we will systematically miss binary-catalyst names that resolve upward.

If this position loses money, the most likely reason will be that we paid for a 55%-probability bet on HARMONi-3 at a price that already assumed it works, and the company sold us the shares that funded the trial that then failed.

What we checked ourselves

Claim	How checked	Found	Confirmed?
Share count	10-Q cover page, 2026-07-17	797,749,602 — our own evidence pack’s XBRL series was stale (ended 2025-06-30 at 742.6M, 7% low)	Yes — and our pack was wrong
Enterprise value	Share count $\times$ \$12.75, less \$690.7M + \$68.4M cash	$\sim \$9.41\text{B}$	Yes

Claim	How checked	Found	Confirmed?
New \$380M equity program	July 23 prospectus supplement, plus independent earnings coverage	Confirmed; illustrated at ~25.8M additional shares	Yes
Western overall-survival HR 0.76 is evidence the drug works in Western patients	Company's own July 22 release, read verbatim	Company labels it exploratory ; confidence interval and p-value explicitly withheld for a future medical meeting; subgroup n=165 vs 438 total	No — ungradeable
Can the CI be reconstructed?	Standard error $\approx 2/\sqrt{\text{events}}$; computed by our blue bench	Even at 100% maturity (165 events) the 95% range is 0.56–1.03; at a realistic ~110 events, 0.52–1.10	Yes — it cannot exclude 1.0 at any event count
“Improvement” from HR 0.98 $\rightarrow$ 0.84 $\rightarrow$ 0.76	Decomposed by data cut	Median follow-up was 9.2 / 13.7 / 23.2 months — three different maturities, not three measurements of one thing	Refutes the bull reading; does not by itself prove the artifact
“HARMONi-3 released no efficacy information” (the original brief's claim)	Company disclosure 2026-04-30	Company said the squamous cohort “ missed statistical significance ”; stock –25%	No — the brief was wrong
Median OS “16.8 vs 14.0 months” (original brief)	Issuer release	Issuer withheld median OS entirely	No — the brief cited a number the company did not publish
Akeso license terms	10-Q note + deal announcements	\$500M paid; up to \$4.5B milestones remain; low-double-digit royalty on net sales	Yes
Akeso territory limited to US/CA/EU/JP	Blue bench audit of red	Red was two years stale — territory expanded 2024-06-03 to add Latin America, Middle East, Africa	No — our red bench was wrong
“Stock is 3.3 $\times$ overvalued vs approval-only value”	Blue bench audit of red	Floor-anchoring. Correct read: price implies ~55% odds on the bull branch; fair value \$9.09–\$11.26; a 12–29% premium, not a 230% one	No — our red bench was wrong on magnitude
Red's stated test for changing its mind (“upper bound <0.95 at $\geq$ 150 Western events”)	Same CI arithmetic	Unreachable at any event count — red set itself an unfalsifiable condition	No — our red bench erred
Red's quotation of the April 30 disclosure	Blue bench re-read of the same release	Red reproduced the miss and dropped the qualifier from the same document (“meaningfully higher bar than the upcoming final analysis... minimal alpha spent”), the exact selective-reading it accused the brief of	No — our red bench erred, in its own favor
Blue's re-multiple figures (\$6.10 floor, \$24.30 bull at 4.5 $\times$)	Recomputed on the 797.7M share count blue said it was using	Does not reproduce: \$6.10 implies ~774M shares. On 797.7M the floor is \$5.92 and the bull branch ~\$24.08. The conclusion (implied probability $\approx$ 37%) survives	No — our blue bench slipped on the denominator it had just corrected

Claim	How checked	Found	Confirmed?
Runway	Cash vs Q2 non-GAAP operating expense \$151.8M (+24% q/q)	~5 quarters pre-launch; the equity program is the plug	Yes
Short interest	Third-party (fintel)	36.96M shares = 31.21% of float	Yes, but third-party — not a primary filing
Competing bispecific	Trial registry + public Phase 3 program	Pumitamig / BNT327 in Phase 3; neither bench put it in the value table where it matters most	Yes — and both benches under-weighted it
Average daily volume / multi-year price bands	Attempted IBKR pull	Denied to both benches — no bar data, no computed bands	No — coverage gap
Next earnings date 2026-10-19	Vendor-derived only	No company release names it; Q1 printed 04-30, Q2 on 07-23	No — unconfirmed
PDUFA date 2026-11-14	Asserted by both benches	Not present in the primary documents in our evidence pack	No — owed a primary confirmation

PROPOSED ENTRY BANDS

The courts say no entry. These are reopen bands.

- **Now through 2026-11-14: FLAT. No bid at any price.** Two unhedgeable binaries and an open equity program. Both benches concurred on flat; they disagreed on why, and the blue reasoning is the one that binds — this is a price-and-supply gate, not a verdict that the drug is worthless.
- **First reopen — starter: ≤\$9.50, only after the FDA decision has resolved, size ≤0.4% of book.** \$9.50 corresponds to roughly a 35% implied chance of the street's 2030 case, versus 55% priced today. Hard condition: **do not buy on any session with a concurrent equity-program print.** If the company is selling that day, we are not the buyer.
- **Second reopen — add: ≤\$6.10 (strictly, ≤\$5.92 on the corrected share count), size to a further ≤0.6%, total ≤1.0%.** That is the approval-only value of the drug net of the Akeso royalty at a 4.5× multiple — i.e. the level at which HARMONi-3 is free. Only if the drug has been approved.
- **No entry at \$4.80.** That figure is the approval-only value at a 3.5× multiple, which we judge too low for a biologic with a long exclusivity runway. Quoted for completeness, not as a level.
- **Abandon the thesis above ~\$16.** At that price the implied odds on the bull branch exceed 75% and there is no version of our own math that supports buying. Close the file rather than chase.
- **Trims/exits:** none applicable. **BOOK: no position, no working orders.**
- **Catalyst dates:** FDA decision **2026-11-14** (bench-asserted; owed a primary confirmation). HARMONi-3 squamous final progression-free-survival readout: **undated, guided “middle to back end” of 2026**, will carry an early low-power look at survival. Q3 earnings: **2026-10-19, vendor-derived and unconfirmed.** Nearest confirmed corporate event: site activations for

the new bladder-cancer trial HARMONi-GU1 begin “later this year” ([8-K, 2026-08-05](#)) — spending news, not value news.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 5.92 (deck-provisional: Approval-only value net of the Akeso royalty at a 4.5x peak-net multiple on 797.7M shares — the level)
- filing watch: 8-K until 2027-02-20 (deck-provisional: FDA action on ivonescimab, expected on or about 2026-11-14 — the first of two binaries and the gate th)
- dated pack SMMT|2026-11-14: SMMT: PDUFA / FDA decision date on ivonescimab — asserted by both benches, NOT found in the primary documents in our evidence pack; owed a p
- dated pack SMMT|2026-12-31: SMMT: Outer bound for the HARMONi-3 squamous final PFS readout; company guided ‘middle to back end’ of 2026, no date given. (date confirmed=
- dated pack SMMT|2026-10-19: SMMT: Q3 2026 earnings — yfinance-derived, no company release names it (Q1 printed 04-30, Q2 07-23). (date confirmed=False)

What remains unverified

1. **The Western overall-survival confidence interval, p-value, event count, and median.** Withheld by the company for a medical meeting. Until published, the load-bearing number in this story is silent — and our own math says that even when published, it will probably not be decisive.
2. **The PDUFA date of 2026-11-14.** Asserted by both benches; not in the primary documents we pulled. Unverified.
3. **The next earnings date.** Vendor-derived, no company confirmation.
4. **Average daily volume, price bands, liquidity.** Not measured — the broker data pull was denied. Every statement in this deck about our footprint being immaterial is inference, not measurement.
5. **How much of the \$380M program has actually been sold.** We know it exists and know the illustrated share figure; we do not know the drawn amount.
6. **The float.** Estimates range 131M–219M shares — a 67% spread. Short interest as a percentage of float inherits that uncertainty.
7. **Share count precision.** We use 797,749,602 from the 10-Q cover; a widely-used data vendor shows 776.16M as of a different date. We chose the filing. Per-share figures move ~3% between the two.
8. **The peak-sales multiple.** 3.5× versus 4.5× moves the floor from \$4.80 to \$5.92 and the implied bull probability from 55% to 37%. No sensitivity was published by either bench; this is the single largest unexamined assumption in the valuation.

9. **Whether the milestone payments should be netted.** Our red bench subtracted the royalty but never subtracted the \$4.5B milestone stack — its arithmetic is therefore *more* generous than its rhetoric. Correcting this would lower every branch.
10. **The competitor's effect on the bull branch.** Punitamig is confirmed to be in Phase 3; its impact on ivonescimab's addressable market is unmodelled by both benches.
11. **Whether "convergence" of the hazard ratio across cuts is maturity drift or real benefit.** Refuted as evidence for the bull case; not established as an artifact.
12. **Manufacturing.** Supply sits with Akeso and unnamed contract manufacturers. No facility, no inspection history, nothing checkable.

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{"price_gates": [{"level": 9.50, "direction": "below", "basis": "Post-PDUFA starter trigger: ~35% implied probability of the street 2030 branch vs 55% priced at $12.73; fires only after 2026-11-14 resolves and only on a session with no concurrent ATM print."}, {"level": 5.92, "direction": "below", "basis": "Approval-only value net of the Akeso royalty at a 4.5x peak-net multiple on 797.7M shares – the level at which HARMONi-3 option value is free; second rung, post-approval only."}, {"level": 16.00, "direction": "above", "basis": "Implied probability on the bull branch exceeds ~75%; abandon the file rather than chase."}], "event_gates": [{"forms": ["8-K"], "why": "FDA action on ivonescimab, expected on or about 2026-11-14 – the first of two binaries and the gate that unlocks any entry."}, {"forms": ["8-K"], "why": "HARMONi-3 squamous final PFS readout, undated, guided to the middle-to-back end of 2026, carrying an early low-alpha OS look."}, {"forms": ["424B5", "424B3", "10-Q"], "why": "Tracks whether the $380M J.P. Morgan ATM is being drawn, suspended or upsized; a live ATM print voids the $9.50 starter for that session."}, {"forms": ["4"], "why": "Further Duggan open-market activity, especially within days of any withdrawn or launched offering – the June 10/11/12 sequence repeating would confirm the insider-bid-as-offering-bridge pattern."}], "catalyst_dates": [{"date": "2026-11-14", "what": "PDUFA / FDA decision date on ivonescimab – asserted by both benches, NOT found in the primary documents in our evidence pack; owed a primary confirmation before it is treated as real.", "confirmed": false}, {"date": "2026-12-31", "what": "Outer bound for the HARMONi-3 squamous final PFS readout; company guided 'middle to back end' of 2026, no date given.", "confirmed": false}, {"date": "2026-10-19", "what": "Q3 2026 earnings – yfinance-derived, no company release names it (Q1 printed 04-30, Q2 07-23).", "confirmed": false}], "immediate_entry": null}
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